AUGUST 2026

The cheapest way to keep an Airtel SIM just went up 17%. Nobody called it a tariff hike.

Airtel deleted its ₹299 prepaid plan this month. The ₹349 plan is now the floor. It is the second time in twelve months the entry price has moved — ₹249 to ₹299 last August, ₹299 to ₹349 now. When you raise prices by deleting the cheap option, you never have to announce a hike at all.

Gadgets360 · 5 Aug 2026

THE CYCLE

A 12–15% hike across all three operators is expected within 100 days.

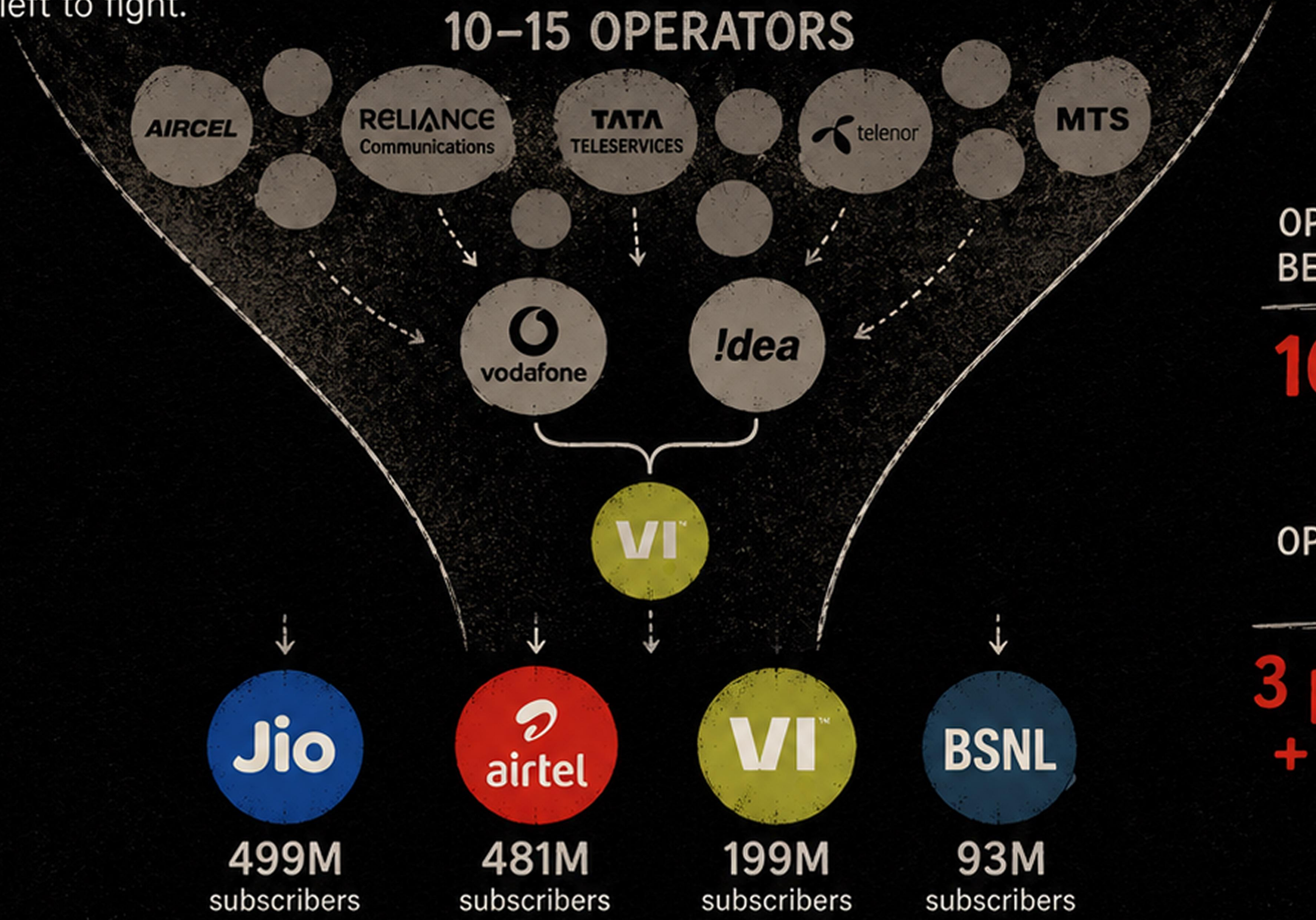
Jio, Airtel and Vi are expected to raise prepaid tariffs by 12–15% by roughly November, according to multiple reports tracking the sector. Postpaid follows later. The structure matters more than the quantum: heavier data users pay more, and the entry tier is already being repriced in advance. Jefferies called this hike in January — and even with the timing slipping past its June call, the script held. When the sell side can pre-book a price increase, it is not really a market price.

> **Jefferies, January 2026:**
> *mobile tariffs expected to rise 15% around June 2026, two years after the last hikes.*
>
> as reported by NDTV Profit • 8 Jan 2026

2016 → 2026

India went from a dozen telecom operators to three and a half. That is the whole story.

Jio's 2016 launch — free voice, near-free data — burned the industry down. Aircel, Reliance Communications, Tata Teleservices, Telenor, MTS: gone. Vodafone and Idea merged to survive. What remains: Jio (499 million wireless subscribers), Airtel (481 million), a wounded Vi (199 million), and BSNL (93 million) losing ground. Price wars end when there is no one left to fight.



OPERATORS BEFORE JIO

10–15

↓

OPERATORS NOW

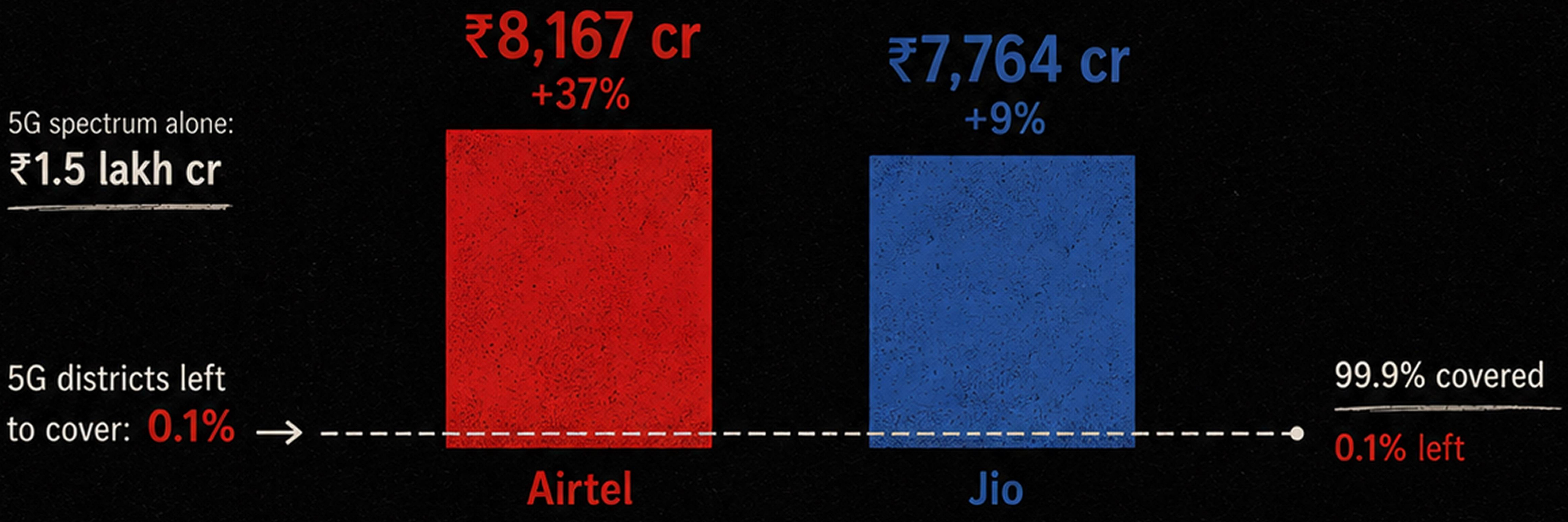
3 private + BSNL

TRAI subscription data • April 2026

THE JUSTIFICATION, EXAMINED

The case for the hike is ‘tariff repair.’ The repaired numbers say otherwise.

The official rationale: 5G cost ₹1.5 lakh crore in spectrum alone, and returns must recover. But the repair already happened. Airtel just reported ₹8,167 crore in quarterly profit, up 37%, on ARPU of ₹264. Jio made ₹7,764 crore on ARPU of ₹215.6 — and is IPO-bound. Combined FY26 net profit of the two leaders: roughly ₹64,000 crore, per former government secretary E.A.S. Sarma's letter to the DoT — an advocacy document, so treat the exact figures as single-sourced. The 5G build is 99.9% done by district coverage. The next hike is not funding construction. It is funding returns.



Q1 FY27

Airtel ₹8,167 cr (+37%) · **Jio ₹7,764 cr (+9%)**

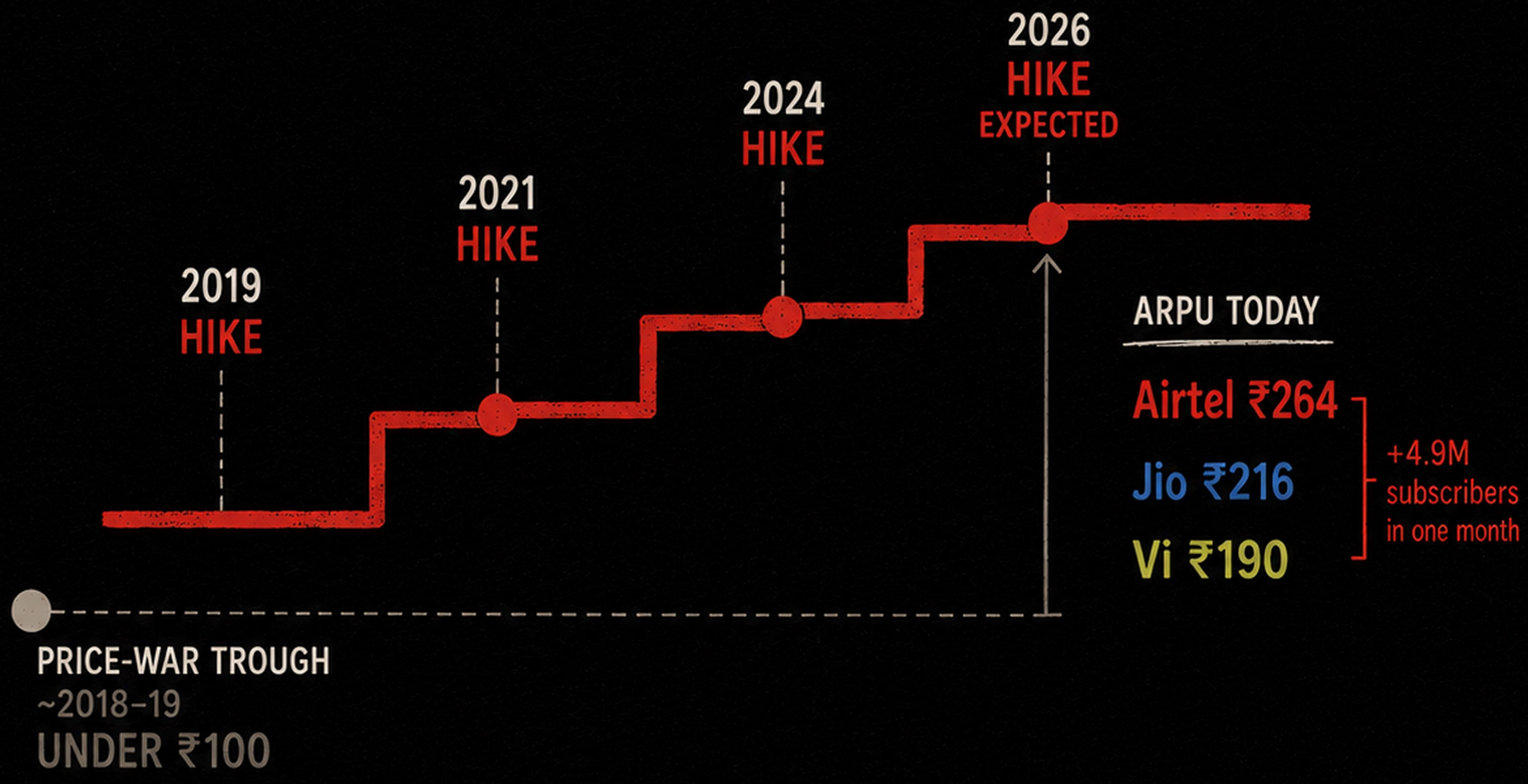
Company results · Jul–Aug 2026

FY26 combined ~₹64,000 cr · Sarma letter via Countercurrents · 5 Jul 2026 (single source)

THE MECHANISM

Tariffs in India do not cycle. They ratchet.

2019: hike. 2021: hike. 2024: hike. 2026: hike (expected). Each round is absorbed with barely a murmur of churn, because there is nowhere to churn to. No increase has ever been given back. Airtel added 4.9 million subscribers in a single month this year while being the most expensive operator. In a market where connectivity is load-bearing infrastructure — UPI, Aadhaar, OTPs — demand does not negotiate.



TRAI / company filings

THE BOUNDARY

150 million Indians use phones that don't need data. They still have to pay for it.

Feature-phone and voice-only users — roughly 150 million, overwhelmingly rural, elderly and low-income — must buy bundled plans whose data they never touch. Consumer groups calculate the effective price of entry-level packs at ₹94–99 per GB, the highest unit rate in the market. Premium users pay a fraction of that. The cheapest customers are subsidising the richest data economics. A ₹349 floor is not a pricing detail for this group; it is a tax on staying reachable.

~150 MILLION
NON-DATA USERS

₹94–99

PER EFFECTIVE GB

PREMIUM USERS
PAY A FRACTION

TRAI / consumer-group submissions, June 2026

TRAI VS THE TRIO

The regulator wants a cheap voice-only plan. All three operators are fighting it.

TRAI's draft amendment would force operators to sell a voice-and-SMS-only voucher at every validity period, priced proportionately below the bundled plan. At the June open house, Jio, Airtel and Vi opposed it in unison — technically impractical, fraud-prone, anti-consumer, they said. They said the same in 2024, when TRAI overruled them and mandated the first voucher. Operators complied by offering it only at 84-day and 365-day validities, barely cheaper than the bundle. The 2026 amendment exists to close that loophole.

DRAFT AMENDMENT

VOICE + SMS ONLY

Jio • Airtel • Vi

OPPOSED IN UNISON

VOICE-ONLY VOUCHERS
MANDATED IN 2024

84-day + 365-day
validities offered

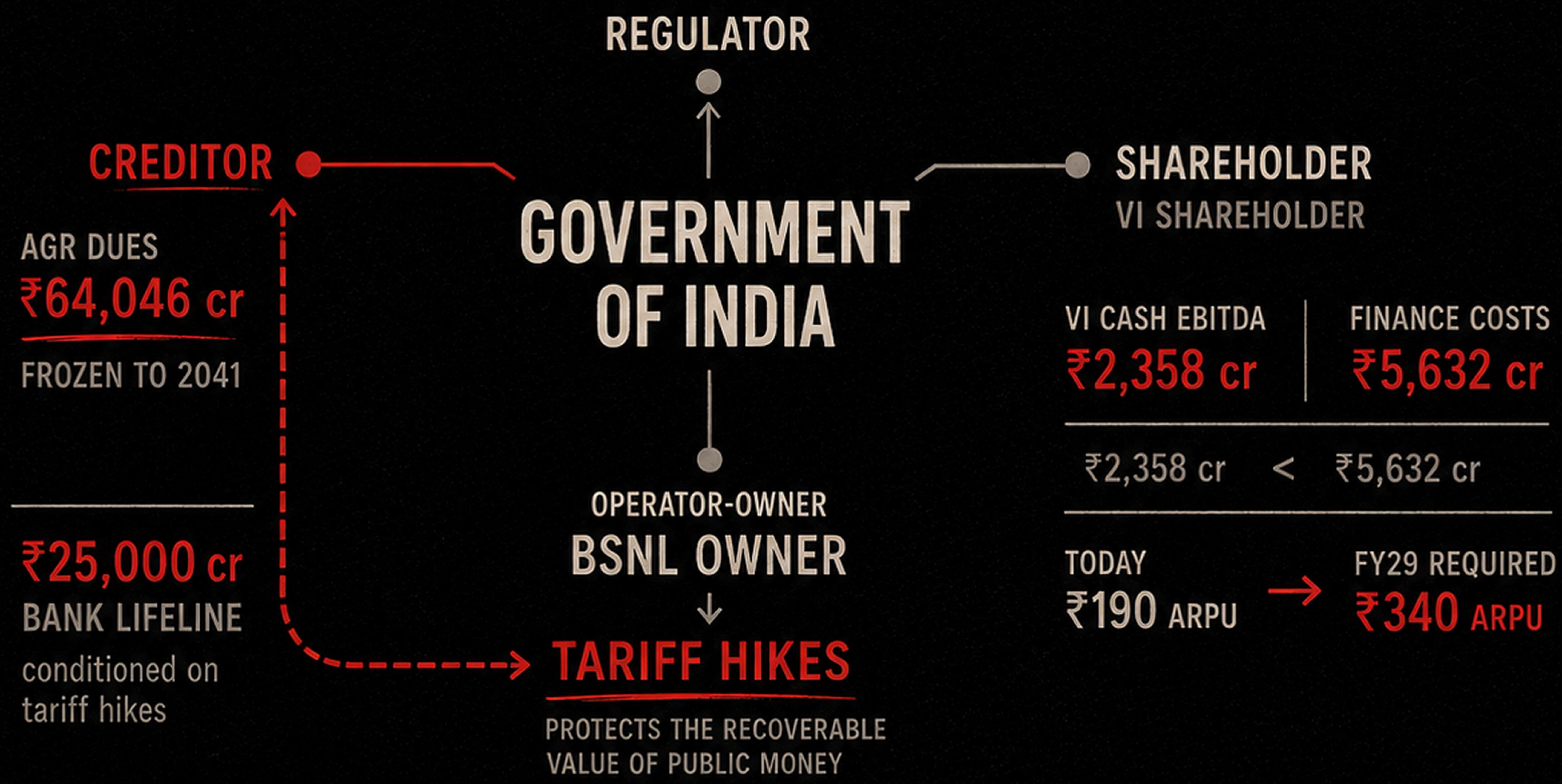
2024
TRAI MANDATES VOUCHER

2026
TRAI MOVES TO
CLOSE THE LOOPHOLE

FOLLOW THE CREDITOR

The government needs the hike as much as the operators do.

Vodafone Idea owes the state ₹64,046 crore in reassessed AGR dues, frozen until 2041. Vi's cash EBITDA covers less than half its finance costs; analysts say it needs ARPU of ₹340 by FY29 — nearly double today's ₹190 — to survive on its own cash. Its ₹25,000 crore bank lifeline is conditioned on tariff hikes. Every hike therefore protects the recoverable value of public money. The state is the affordability guardian, the sector's biggest creditor, a Vi shareholder, and the owner of BSNL — all at once.

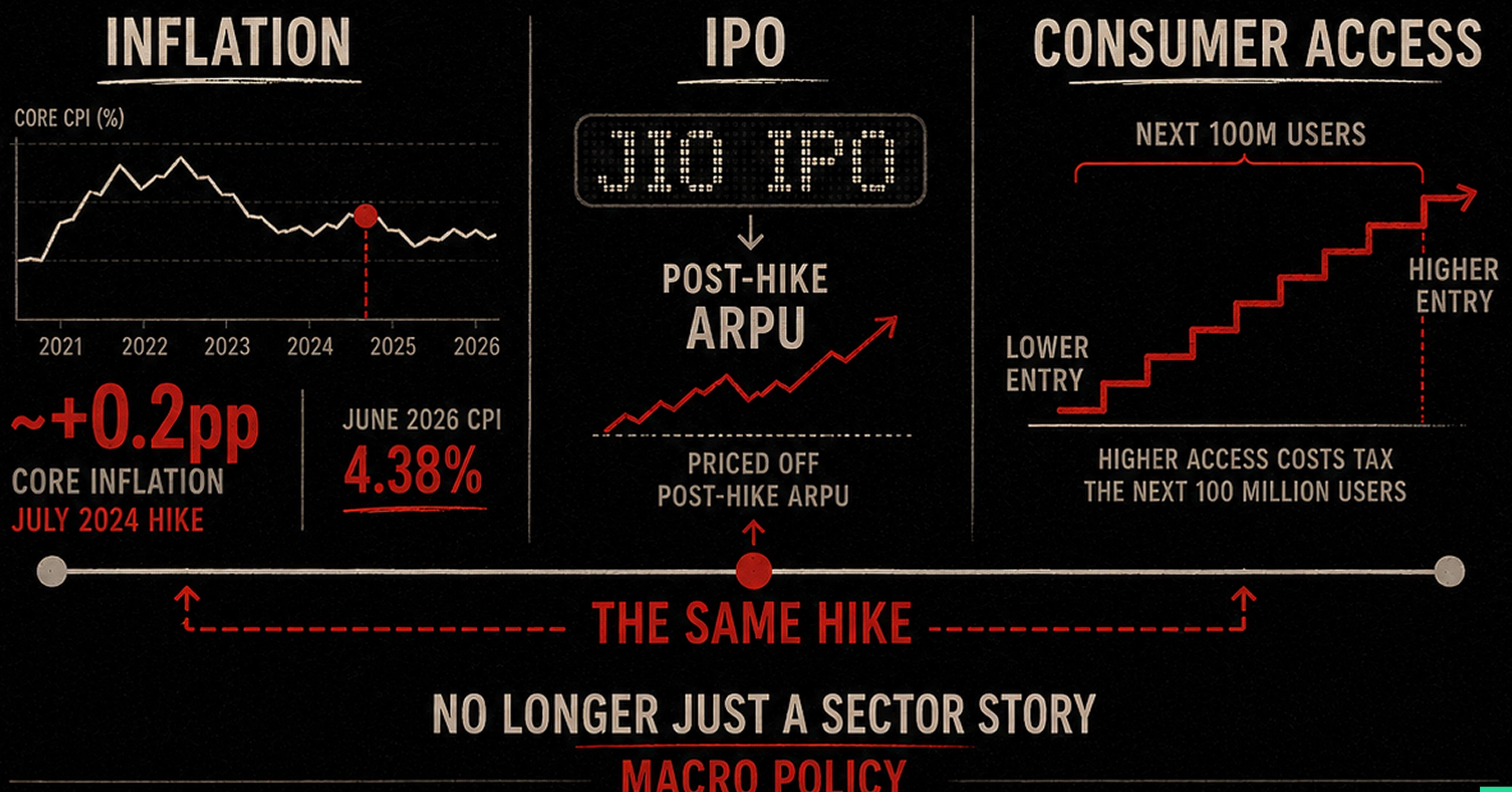


Company filings / Multibagg.ai

WHY IT MATTERS BEYOND TELECOM

A phone-bill hike is an inflation print, an IPO pricing, and a fiscal line item in one.

The 2024 hike added about 0.2 percentage points to core inflation; a 15% round lands with June CPI already at 4.38% and complicates the RBI's path. Jio's imminent IPO will be priced off post-hike ARPU — the hike is partly a listing document. And higher access costs tax the next 100 million users that India's consumer-internet growth story is priced on. Telecom pricing is no longer a sector story. It is macro policy conducted by three companies.

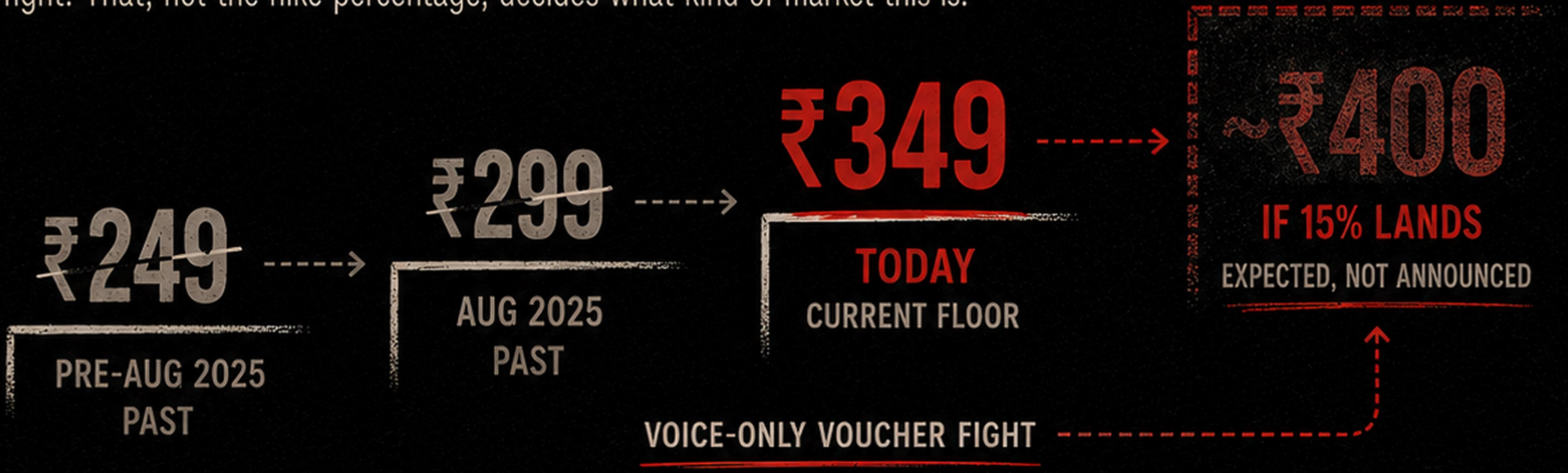


ET • 3 Jul 2024 / MoSPI

THE OPEN QUESTION

The price war built India's internet. The peace will be billed to its poorest users.

For a decade, the consumer surplus of the Jio era — the cheapest data in the world — was funded by operator losses and a body count of competitors. That bill has come due, and the consolidated industry is collecting it from the bottom of the pyramid upward. The only live checks left are a regulator testing the limits of its own mandate, and a state that cannot decide whether it is referee or creditor. Watch the voice-only voucher fight. That, not the hike percentage, decides what kind of market this is.



THE OPEN QUESTION:

WHAT KIND OF MARKET IS THIS?

ET, 3 Jul 2024 / MoSPI